

INTER IKEA GROUP

Financial Analysis Methodology

FY23-FY25



Data extraction, standardization, ratio calculation, trend analysis,
and dashboard development methodology

Prepared by

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Version 1.0 | Independent portfolio case study

All monetary amounts are presented in EUR millions unless otherwise stated.

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Document purpose This methodology provides a transparent audit trail from published annual-report figures to the standardized statements, ratios, written interpretations, and executive dashboard included in the Excel model.	

1. Purpose and scope

This document explains the analytical methodology used to build the Inter IKEA Group Financial Statement Analysis workbook for FY23-FY25. It is designed to make the project reproducible, reviewable, and suitable for a professional portfolio.

The analysis covers the consolidated financial performance and financial position of Inter IKEA Holding B.V. and its subsidiaries. It does not represent the total retail sales of the wider IKEA franchise system.

- Capture reported financial-statement data from the official FY23, FY24, and FY25 annual reports.
- Preserve the original reported line items in raw-data worksheets.
- Map the raw information into standardized analytical statements.
- Calculate comparable profitability, liquidity, solvency, efficiency, return, and cash-conversion ratios.
- Develop three-year trend interpretations and an executive dashboard.
- Maintain clear source references, assumptions, and limitations.

Reporting unit

The model uses EUR millions. Inter IKEA Group reports on a financial year ending 31 August; therefore, FY25 represents the year from 1 September 2024 to 31 August 2025.

2. Reporting basis and source documents

The primary sources are the official consolidated annual reports published by Inter IKEA Group. The statement pages used in the workbook are consistent across the three reports: balance sheet on page 14, income statement on page 15, and cash-flow statement on page 16.

Source ID	Document	Period	Core pages used	Use in model
AR-23	Inter IKEA Holding B.V. Annual Report	FY23	14-16	FY23 raw statements and comparative context
AR-24	Inter IKEA Holding B.V. Annual Report	FY24	14-16	FY24 raw statements and comparative context
AR-25	Inter IKEA Holding B.V. Annual Report	FY25	14-16	FY25 raw statements and comparative context

Source URLs are retained in the GitHub README and should also be recorded in the workbook source register. The annual reports remain the authoritative documents for audited figures and disclosure notes.

3. Workbook architecture and data lineage

The workbook follows a layered model design. Each layer has a distinct purpose, which reduces the risk of overwriting source data and makes calculations easier to trace.

Layer	Worksheets	Purpose
Presentation	01_Cover, 12_Dashboard	Project context and executive output
Source control	02_Source_Register	Annual-report inventory and source tracking
Raw data	03_Raw_Income_Statement to 05_Raw_Cash_Flow	Reported values captured without analytical reclassification
Standardization	06_Standardized_P&L to 08_Standardized_Cash_Flow	Consistent analytical statement structure
Analysis	09_Ratio_Analysis, 10_Trend_Analysis	Formula-based metrics and written interpretation
Visualization support	11_Dashboard_Data	Chart-ready data and KPI-card inputs

3.1 Data lineage

Annual reports	Raw sheets	Standardized sheets	Analysis sheets	Dashboard
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Values move forward through the model; they are not manually re-entered at the dashboard stage. The analysis layer therefore serves as the control point between statement data and presentation output.

3.2 Separation of reported and derived information

- Reported values are retained in the raw worksheets with annual-report page references and note references where applicable.
- Derived values are explicitly identified in the standardized or analysis sheets.
- Dashboard tables contain only the metrics required for charts and KPI cards.
- Written interpretations are stored separately from formulas in the trend-analysis worksheet.

4. Data extraction and standardization

4.1 Extraction protocol

- Locate the consolidated balance sheet, income statement, and cash-flow statement in each annual report.
- Enter each reported line item into the matching raw-data worksheet, preserving the original description and sign.
- Record the statement page and relevant note reference.
- Compare totals to the published statement before proceeding.
- Map the raw lines to the standardized analytical categories described below.

4.2 Income-statement standardization

Standardized line	Source / calculation	Methodological note
Operating Income	Reported total operating income	Equals net turnover + change in finished-goods inventory + other operating income.
Cost of Raw Materials	Reported cost of raw materials and consumables	Used as the principal direct-cost proxy for gross-margin analysis.
Personnel Expenses	Salaries and wages + social charges + pension expenses	Derived category for comparable employee-cost analysis.

Standardized line	Source / calculation	Methodological note
Other Operating Expenses	Outsourced/external costs + impairments + other operating expenses	Derived residual operating-expense category.
Operating Result	Reported operating result	Primary operating-profit measure.
Net Profit	Reported net result	Retains the reported total, including the FY25 share of results from participating interests.
Gross-margin input Net turnover is retained in the raw income-statement and dashboard/trend layers. Gross margin uses reported net turnover rather than total operating income, because inventory changes and other operating income are not sales revenue.		

4.3 Balance-sheet standardization

Fixed assets are relabelled as non-current assets. Intangible, tangible, and financial fixed assets are retained as separate analytical categories. Current assets and liabilities preserve the reported totals. Total liabilities are derived as provisions + non-current liabilities + current liabilities, and are reconciled to total assets less equity.

4.4 Cash-flow standardization

Standardized line	Calculation	Purpose
Capital Expenditure	Investment in intangible assets + investment in tangible assets	Aggregates recurring investment in productive assets.
Net Loans Receivable	Issuance of loans receivable + repayment of loans receivable	Combines lending-related cash flows using reported signs.
Operating / Investing / Financing CF	Reported subtotals	Preserves authoritative statement totals.
Net Change in Cash	Net cash flow + exchange-rate differences	Reconciles opening and closing cash.

5. Ratio methodology

Ratios are calculated consistently across FY23-FY25 using the standardized statements and, where appropriate, reported net turnover. Results are displayed as percentages or multiples. The FY23-to-FY25 change is generally calculated as $(FY25 / FY23) - 1$.

Ratio	Formula	Primary interpretation	Important convention
Gross Margin	$(\text{Net Turnover} - \text{Raw Materials}) / \text{Net Turnover}$	Direct cost absorption and pricing	Uses net turnover, not operating income.
Operating Margin	$\text{Operating Result} / \text{Operating Income}$	Operating profitability	Operating-income denominator matches workbook design.
Net Profit Margin	$\text{Net Profit} / \text{Operating Income}$	Bottom-line profitability	Includes finance, tax, and FY25 participating-interest result.
Current Ratio	$\text{Current Assets} / \text{Current Liabilities}$	Short-term coverage	Expressed as x.
Quick Ratio	$(\text{Current Assets} - \text{Inventory}) / \text{Current Liabilities}$	Liquid short-term coverage	Inventory excluded.
Debt-to-Equity	$\text{Total Liabilities} / \text{Equity}$	Financial leverage	Total liabilities include provisions.
Equity Ratio	$\text{Equity} / \text{Total Assets}$	Capital strength	Higher ratio indicates greater equity financing.
ROA	$\text{Net Profit} / \text{Total Assets}$	Return generated from asset base	Uses year-end assets.
ROE	$\text{Net Profit} / \text{Equity}$	Return generated for equity base	Uses year-end equity.
Asset Turnover	$\text{Operating Income} / \text{Total Assets}$	Asset utilization	Uses year-end assets.
Inventory Turnover	$\text{Raw Materials} / \text{Average Inventory}$	Inventory movement	FY23 average includes FY22 inventory of EUR 6,294M.
Cash Conversion	$\text{Operating Cash Flow} / \text{Net Profit}$	Earnings-to-cash conversion	Above 1.0x indicates cash flow exceeds net profit.

5.1 Averaging convention

Average inventory is used because inventory turnover is a flow-to-stock ratio. FY23 average inventory is based on FY22 inventory of EUR 6,294M and FY23 inventory of EUR 4,772M. FY24 and FY25 use the immediately preceding year-end inventory balance. ROA, ROE, and asset turnover use year-end balances in the current workbook; this convention should remain consistent when extending the model.

5.2 Interpretation of percentage changes

Percentage changes are meaningful when the base value is positive. For negative cash-flow amounts, a percentage change can be misleading because sign and magnitude interact. The trend sheet therefore uses qualitative labels such as "higher outflow" or "volatile" for investing and financing cash flow.

6. Trend analysis and dashboard methodology

6.1 Trend-analysis framework

The trend-analysis sheet combines quantitative changes with a concise analyst interpretation. Each KPI is reviewed across four dimensions: direction, magnitude, sustainability, and financial implication.

Dimension	Question applied	Example	Output
Direction	Did the KPI rise, fall, or reverse?	Operating profit rose in FY24, then fell in FY25.	Trend label
Magnitude	Was the change minor or material?	Operating cash flow fell 71.0% year over year in FY25.	Change measure

Dimension	Question applied	Example	Output
Sustainability	Is the movement persistent or one-off?	Revenue declined in both FY24 and FY25.	Three-year assessment
Implication	What does the movement mean financially?	Lower cash conversion weakens earnings quality.	Analyst interpretation

6.2 Dashboard construction

The dashboard is designed for rapid executive review. The supporting data sheet separates each chart into a small, contiguous table, which reduces chart-reference errors and allows easy updates when a new year is added.

- KPI cards: net turnover, operating profit, net profit, current ratio, ROE, and operating cash flow.
- Profitability visuals: revenue and profit trend plus gross, operating, and net-margin trend.
- Balance-sheet visuals: liquidity, solvency, efficiency, ROA, and ROE.
- Cash-flow visual: operating, investing, and financing cash flow with negative values shown below zero.
- Insight panel: concise narrative highlighting revenue pressure, FY24 profitability peak, strong liquidity, conservative leverage, and FY25 cash-flow weakness.

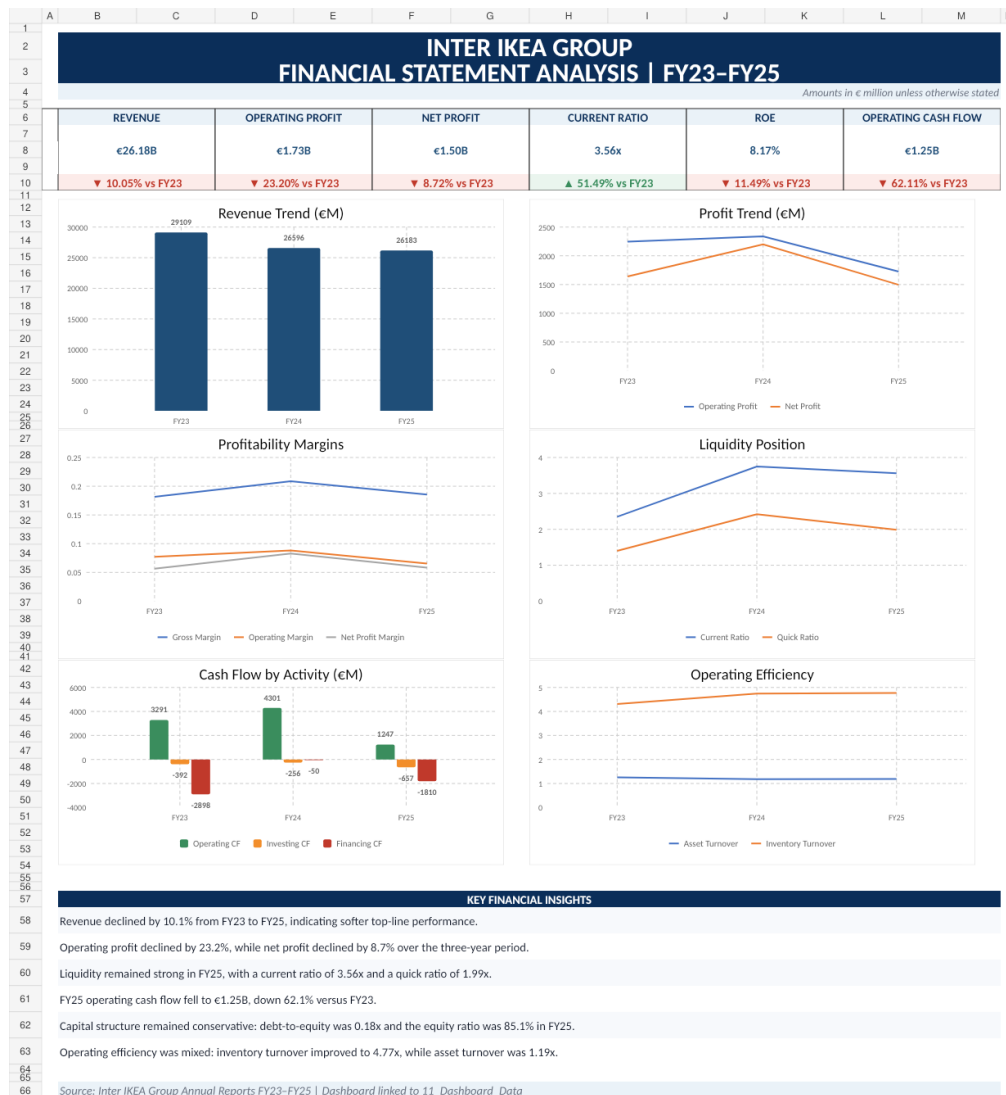


Figure 1. Executive dashboard generated from the model's dashboard-data layer.

7. Data-quality controls and validation

The following controls are used to validate model integrity before publication.

Control	Validation equation / check	Result expected
Income composition	Net turnover + inventory change + other operating income = operating income	Exact agreement
Operating result	Operating income - operating expenses = operating result	Exact agreement
Profit before tax	Operating result + financial income - financial expenses = PBT	Exact agreement
Balance sheet	Total assets = total equity and liabilities	Zero difference
Liability composition	Provisions + non-current liabilities + current liabilities = total liabilities	Exact agreement
Cash roll-forward	Opening cash + net change in cash = closing cash	Exact agreement
Cash-flow subtotal	Operating + investing + financing CF = net cash flow	Exact agreement
Cross-sheet consistency	Dashboard values agree with statement and ratio sheets	No mismatch
Formula-error scan	No #REF!, #DIV/0!, #VALUE!, #NAME?, or #N/A	No errors

7.1 Model review controls

- Check that annual-report page references are populated for each raw and standardized statement line.
- Review all derived categories against their component lines.
- Verify that dashboard charts use the intended chart type and include every series.
- Confirm that percentage formats, multiples, negative values, and EUR-million labels are consistent.
- Open the workbook after upload to ensure charts render correctly in desktop Excel and Excel Online.

Final workbook housekeeping

Before treating the repository as fully complete, update the cover-sheet status from "In Progress" to "Completed" and replace the source-register placeholders (TBD / Pending) with final page references and a completed status.

8. Assumptions and limitations

- The model covers three financial years and does not represent a full economic cycle.
- The analysis uses consolidated public information and does not include internal budgets, forecasts, management accounts, or detailed business-unit data.
- Cost of raw materials is used as the direct-cost proxy for gross margin; this is an analytical convention rather than a separately reported gross-profit subtotal.
- ROA, ROE, and asset turnover use year-end balance-sheet values. Alternative analyses may use average balances.
- Ratio definitions can vary across analysts and data providers; results should be interpreted using the formulas documented here.
- The project is not an audit, valuation, investment recommendation, credit opinion, or forecast.
- The analysis is independent and is not affiliated with or endorsed by Inter IKEA Group.

9. Reproducibility and maintenance workflow

The following sequence should be used when adding a new financial year or revising a reported figure:

6. Add the new annual report to the source register with its URL, reporting period, and statement pages.
7. Extend each raw statement by one fiscal-year column and capture the reported values.
8. Validate statement totals and sign conventions.
9. Extend standardized-statement formulas and mapping logic.
10. Extend ratio calculations using the documented formulas and averaging conventions.
11. Update trend-analysis change measures and written interpretations.
12. Extend dashboard-data tables and chart series.
13. Re-run all balance, cash-flow, cross-sheet, and formula-error checks.
14. Refresh the dashboard screenshot, README metrics, report, and methodology version number.
15. Commit the updated files to GitHub with a descriptive version-control message.

Recommended file location

GitHub path

Documentation/Inter_IKEA_Analysis_Methodology.pdf

Appendix A. Source-to-model mapping

Reported line / source	Standardized output	Analysis use	Worksheet reference
Net turnover	Retained as reported	Gross margin, revenue trend, KPI card	03, 10, 11, 12
Change in finished-goods inventory	Component of operating income	Operating-income reconciliation	03
Salaries + social charges + pensions	Personnel expenses	Operating-cost analysis	03 -> 06
External costs + impairments + other expenses	Other operating expenses	Operating-cost analysis	03 -> 06
Fixed assets	Non-current assets	Asset structure and turnover	04 -> 07 -> 09
Inventories	Inventory	Liquidity and inventory turnover	04 -> 07 -> 09
Reported operating cash flow	Operating cash flow	Cash conversion and dashboard KPI	05 -> 08 -> 09/11
Intangible + tangible investment	Capital expenditure	Investment-intensity analysis	05 -> 08
Issuance + repayment of loans receivable	Net loans receivable	Investing cash-flow analysis	05 -> 08
Equity and total liabilities	Capital structure	Debt-to-equity and equity ratio	07 -> 09

Appendix B. Publishing checklist

- [] Workbook filename uses a single .xlsx extension and matches the README link.
- [] Dashboard image filename and capitalization match the README image path.
- [] Cover status is Completed.
- [] Source register shows final page references and Completed status for FY23-FY25.
- [] Financial-analysis report PDF is stored in the Report folder.
- [] Methodology PDF is stored in the Documentation folder.

- [] README links open successfully from the repository home page.
- [] No personal or confidential information is present in workbook metadata or screenshots.
- [] Repository contains no empty placeholder files that appear as folders.
- [] A final GitHub preview confirms that tables, images, and file links render correctly.

Official source references

Inter IKEA Holding B.V. Annual Report FY23: <https://www.inter.ikea.com/-/media/interikea/igi/financial-reports/inter-ikea-holding-bv-annual-report-fy23-final.pdf>

Inter IKEA Holding B.V. Annual Report FY24: <https://www.inter.ikea.com/-/media/interikea/igi/financial-reports/fy24-financial-reports/inter-ikea-holding-bv-annual-report-fy24.pdf>

Inter IKEA Holding B.V. Annual Report FY25: <https://www.inter.ikea.com/-/media/interikea/igi/financial-reports/fy25-financial-reports/inter-ikea-holding-bv-annual-report-fy25-final.pdf>

Financial-report archive: <https://www.inter.ikea.com/en/performance/download-financial-reports>

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